Figure Out: Marketing Plan

Luís Arteiro
1150625

March 2019

Contents

1 The Company **1**
1.1 Concept . . . 1
1.2 Mission . . . 1
1.3 Vision . . . 1
1.4 Values . . . 2
1.5 Culture of the company . . . 2

2 General Resources: Human, Technology and Financial **4**
2.1 Human . . . 4
2.2 Technological . . . 4
2.3 Financial . . . 4

3 Company's environment analysis **5**
3.1 Political Factors . . . 5
3.2 Social Factors . . . 5

4 Surrounding environment analysis **7**
4.1 Clients . . . 7
4.2 Direct competitors . . . 7
4.3 Indirect competitors . . . 7

5 Long-term goals **8**

6 Marketing Mix **9**
6.1 Product . . . 9
6.2 Price . . . 9
6.3 Place . . . 9
6.4 Promotion . . . 9
6.5 People . . . 10
6.6 Processes . . . 10
6.7 Physical Evidence . . . 10

7 SWOT Analysis **11**

8 Product life cycle strategy **12**
8.1 Product Sustainability . . . 13

9 Action Plans **14**

10 Budget **15**

11 Schedule **17**

1 The Company

Figure Out, promptly named after the application Figure Out, is a relatively new company founded in Porto, Portugal. Its only service/platform correlates directly with the mobile app Figure Out, which allows users to translate any sign or object with embedded text to their desire language, with output choices that convene those with hearing (text-to-speech) and speaking (sign language) disabilities, all the while allowing for the team and, possibly, future researchers to study how users use the app and how they use it to scan their environment. The company can be, therefore, classified as a start up, developing its product by their own free will, know-how and resources, aiming for a more inclusive and easy-going society.

1.1 Concept

Figure Out's main concept is intrinsically related to its mission and values. It was founded on two main concepts: usability and access ability. Therefore, with this, Figure Out intends to make life easier for those who wish to learn new languages, travel more easily or communicate better, all the while including those who have disabilities to also ease out their life. To include as many people is one of the object and the concept in itself revolves around; to level the bar and make software where both sides can benefit from.

1.2 Mission

Figure Out's main mission is to develop cutting-edge, state-of-the art solutions to aid the user's everyday routine and develop totalitarian apps to help in specific or overall situations. This broad statement allows not only the team but for a team of researchers to use such data and conduct their own experiments and researches to better understand how a user works with our app and when it does so. The data can be accessed, organized and synthesized according to whatever criteria it suits either the team or potential researches, thus delivering a faster and simpler way of analyzing data. For the end user, every platform developed is easy-to-use and has support for main disabilities that mainly effect hearing or speaking.

1.3 Vision

The vision of this company is aimed towards a fairer, more leveled society, where users from all over the spectrum can enjoy apps and its endless utilities in the same way, without external constraint or from their own disabilities. This company wants not only the user to learn from services developed by the team but also to use it as an utilitarian tool, all the while providing data for possible future researches on developing more cutting-edge technology and reinventing the wheel. Every problem and platform developed takes into consideration the

target audience, regardless of their gender, ethnicity or impairment. The future is an inclusive one.

1.4 Values

No business or company is without its own set of values and principles it sticks by. This company sticks with five principles: Person, Excellence , Change and Integrity and Co-prosperity.

By order, Figure Out believes that, without its employees, there is no company. Therefore, the latter is actively seeking for good job conditions which, in turn, allow for the workforce to work at its full potential and work towards the main goal: Excellence. The aforementioned refers strictly to the quality of the product at end. High standards, strict test environment and quality assurance are key for the app to perform well not with the user but with the market as well. Figure Out is aware of possible industry changes. Sticking with traditional and orthodox methods can spell disaster for static companies. A key value of Change is then imposed within the company, who looks for and develops new technology, if necessary, to allow for its software to perform at the highest level possible. If how the intertwining engines of the company needs to change to accommodate such changes, an open environment for doing so is required.

Finally, the Integrity counterpart refers strictly to the company's commitment on creating inclusive apps for everyone, accommodating the widest range of people possible and learn from their feedback and opinions accordingly.

1.5 Culture of the company

Figure Out knows how the well-being of its employees greatly effects efficiency and high productivity levels. Therefore, there's an underlying laid-back environment to every team and every piece of software developed. Handy's model allows for a simple analysis of the company's overall culture, revolving around two variables: formalization and centralization, as shown in figure 1.

With this in mind, according to the aforementioned picture, Figure Out's company culture relies heavily on a Athens-type culture. The work, itself, is the leading principle of coordination. Decision making occurs through meritocracies. Employees move frequently from one project or group to another. Task culture fosters a high level of adaptation and innovation by emphasizing talent, youth and team problem-solving, although excessive individual independence can lead to irresponsibility. Task cultures are expensive organizations that require highly paid experts driven to analyze organizational problems in depth. High cost drives organizations to construct routines and adopt a greater Apollonian work mode. Task cultures are often short lived.

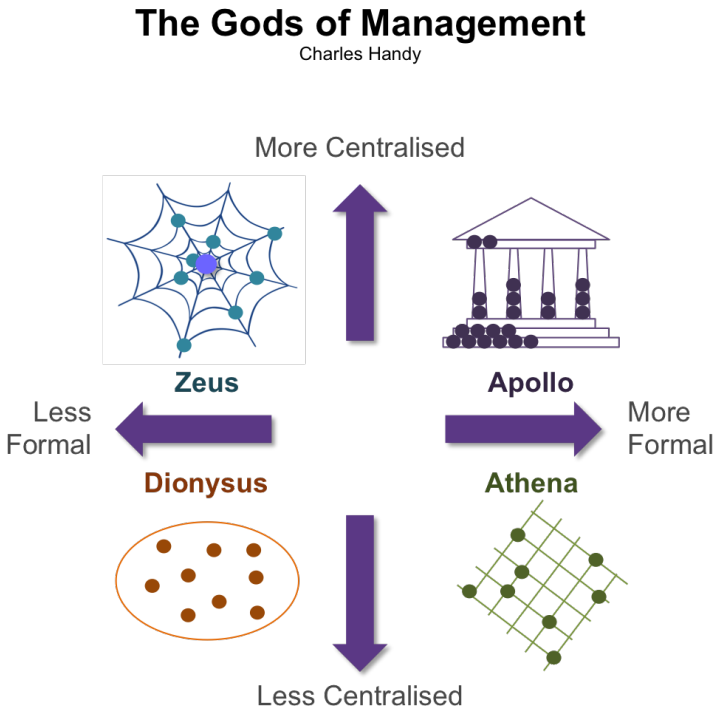


Figure 1: Handy's Model of Organizational Culture

2 General Resources: Human, Technology and Financial

Every company has a set of resources that allow it to run, function and develop products continuously. As of the time of this document, Figure Out has access to the following set of resources.

2.1 Human

Management Fábio Lourenço - 1150434
Luís Arteiro - 1150625
Miguel Pinto - 1150680

Design Team Sofia Teixeira - 1130406
Daniel Mota - 1000943

Programmers Michal Smiarowski (Interface) - 1160204
Daniel Soares (Interface) - 1182172
Rafael Oliveira (Interface) - 1131165
Miguel Morgado (Interface) - 1150605
Paulo Silva (Video Interaction) - 1140381
Miguel Pinto (Graphic/Images Interaction) - 1150680
João Vaz (Audio Interaction) - 1150617
Luís Arteiro (Database Interface) - 1150625
Fábio Lourenço (Database Interface - 1150434

Testing João Coelho - 1150825
Michal Smiarowski - 1160204
Rafael Oliveira - 1131165

2.2 Technological

Figure Out has many technologies at its disposal. Through partnership with ISEP, the company has access to a myriad of Microsoft-related tools of development (i.e., Visual Studio Enterprise), free of charge. For the main translator app, all the technologies are free, these being mySQL, Node.JS and Ionic, with external APIs such as Google Vision. A possible server can run Ubuntu 16.04 LT, a free Linux distribution.

2.3 Financial

The current application is being developed under an academic environment, albeit with possible commercial extension. Even with this, time is the only expenditure stemming from the team. No team member receives financial compensation for developing the project.

3 Company's environment analysis

Environmental analysis is a strategic tool. It is a process to identify all the external and internal elements, which can affect the organization's performance. The following analysis entails assessing the level of threat or opportunity the factors might present. These evaluations are later translated into the decision-making process. The analysis helps align strategies with the firm's environment.

3.1 Political Factors

As in every company, political factors of the country can factor in the decision-making process of the country. Currently, as Figure Out is based in Portugal, it boasts of a stable government and heavy support for start-ups, mainly from the start-up initiative StartupVisa, which allow companies from abroad to settle in with investment from the government.

3.2 Social Factors

Each country has its own culture and distinctive mindset. This can cause a great impact on how the company is managed and functions, ultimately affecting the sales of products and services. Hofstede's model allows the comparison of each country's culture and study their values and principles. Portugal's model is present in figure 2.

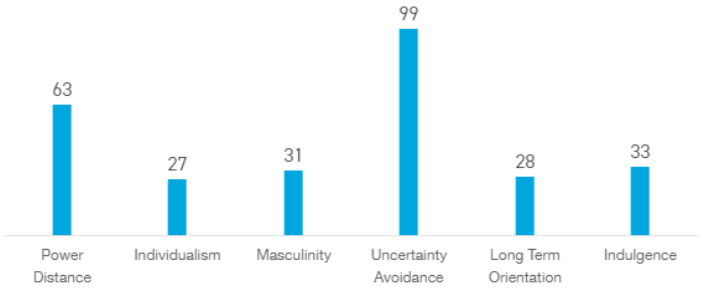


Figure 2: Portugal's social and culture analysis based on Hofstede's model.

It is possible to come to some conclusions regarding these results. Power Distance's dimension deals with the fact that all individuals in societies are not equal – it expresses the attitude of the culture towards these inequalities amongst us. Portugal's score on this dimension (63) reflects that hierarchical distance is accepted and those holding the most powerful positions are admitted to have privileges for their position.

In Individualism, the fundamental issue addressed by this dimension is the degree of interdependence a society maintains among its members. Portugal, in comparison with the rest of the European countries (except for Spain) is

Collectivist (because of its score in this dimension: 27). This is manifest in a close long-term commitment to the member 'group', be that a family, extended family, or extended relationships. Loyalty in a collectivist culture is paramount, and over-rides most other societal rules and regulations.

Next up, Masculinity indicates whether that the society will be driven by competition, achievement and success, with success being defined by the winner/best in field – a value system that starts in school and continues throughout organizational life. Portugal scores 31 on this dimension and is a country where the key word is consensus. So polarization is not well considered or excessive competitiveness appreciated.

The dimension Uncertainty Avoidance has to do with the way that a society deals with the fact that the future can never be known: should we try to control the future or just let it happen? This ambiguity brings with it anxiety and different cultures have learnt to deal with this anxiety in different ways. If there is a dimension that defines Portugal very clearly, it is Uncertainty Avoidance. Portugal scores 99 on this dimension and thus has a very high preference for avoiding uncertainty. Countries exhibiting high Uncertainty Avoidance maintain rigid codes of belief and behaviour and are intolerant of unorthodox behaviour and ideas.

Long-term orientation describes how every society has to maintain some links with its own past while dealing with the challenges of the present and future, and societies prioritize these two existential goals differently. A low score of 28 shows that Portuguese culture prefers normative thought over pragmatic.

Lastly, Indulgence is defined as the extent to which people try to control their desires and impulses, based on the way they were raised. A relatively low score of 33 indicates that Portugal has a culture of Restraint. Societies with a low score in this dimension have a tendency to cynicism and pessimism.

4 Surrounding environment analysis

4.1 Clients

At the moment of writing this document, there are no specific clients because the product is in its early stages of design and development. In a truly academic environment, there is no apparent client, just an outcome as to satisfy the teacher's need. However, potential customers include the average person who's willing to travel or communicate with other people, as well as researchers who can use data regarding this specific scope of people to conduct studies and researches.

4.2 Direct competitors

There are similar apps that are currently in market, as stated in the State of the Art document previously delivered. Google's translator app is a prime example of many of the features that can and will be found within Figure Out's app. On the other hand, Figure Out will also have hand sign language support, something Google's does not provide and apps that do, specialize in this field.

4.3 Indirect competitors

There are no significant indirect competitors. Figure Out's mobile app is mainly aimed at mobile platforms. The act of translating and providing feedback on specific services can be found virtually everywhere (e.g., Google Tradutor). therefore, there are no significant indirect competitors, only those who provide similar services in different platforms.

5 Long-term goals

Defining long-term goals are hard, especially considering the app is in its early stages of development. However, it is naught to there are some goals, all towards monetary gain.

After the development of the app, it is crucial to not jump into the market head first. In many instances, first impressions are key for the short and long-term success of software applications. What is necessary is to adopt a system similar to Lean Startup, where the team develops towards an MVP - Minimum Viable Product. MVP can often be referred as a pilot experiment of the app, where the most significant features are already developed and properly tested. The MVP phase of a product is often released to a small, limited circle of users (these can be considered "beta testers"). Doing this allows the team for a quicker, more detailed feedback on specific features that need to be improved before release. This beta testing walks towards a better first impression when the mobile app will effectively be released.

Therefore, through the aforementioned methodology, the main non-financial goals is for Figure Our's app to be recognized as the best, most useful app in its field and to be the go-to tool in communicating and travelling purposes. Seeking new customers and obtain a friendly and good image brand and market position are amongst these goals.

Financial objectives will be to achieve the best-selling status on all mobile platforms and maximize profit, either through monetization of the app or using add revenue whilst keeping the app free of charge for oncoming, new users and avoid splitting the user base.

6 Marketing Mix

Simply put the Marketing Mix is a tool used by businesses and Marketers to help determine a product or brands offering. What follows are the four principles, with three extended ones, of Figure Out's Marketing Mix.

6.1 Product

The Product should fit the task consumers want it for, it should work and it should be what the consumers are expecting to get. Figure Out's main product is a material asset, which is tangible, with an intangible component attached to it (potential for researches to analyze user's data). The product is aimed towards innovation and have capabilities for normal users and ones with disabilities to access the normal features the application provides.

6.2 Price

The Product should always be seen as representing good value for money. This does not necessarily mean it should be the cheapest available; one of the main tenets of the marketing concept is that customers are usually happy to pay a little more for something that works really well for them. There are two possible approaches for this dilemma. Either the user pays upfront, that is, the app has a specific cost and the user has access to all features. Or, on the other hand, the app can be free of charge and charge certain features through a premium subscription, behind a pay wall. Either have their set of advantages and disadvantages but, in order to reach the highest amount of people possible, the second alternative becomes increasingly more relevant.

6.3 Place

This component refers to the set of elements that make the product available for consumers. This is a broad spectrum in various fields but, in Figure Out's specific case, distribution of the product is strictly through online means. That is, the product can only be bought and accessed through the internet, either for the average, front-end consumer to the back-office users. The main stop point for users to download the app will ultimately be the website where a myriad of information will be presented (including, as well, the log-in for the back-office component of the application). However, the app can be downloaded in both App Store and Google Play, for iPhone and Android platforms, respectively.

6.4 Promotion

Advertising, PR, Sales Promotion, Personal Selling and, in more recent times, Social Media are all key communication tools for an organization. These tools

should be used to put across the organization's message to the correct audiences in the manner they would most like to hear, whether it be informative or appealing to their emotions.

The promotion of Figure Out's app will be incremental. The company firmly believes in the power of word of mouth marketing and let the users form opinion themselves about the app. Starting from a closed circle, the hype surrounding the app will do most of the job to gain interest about other users. However, traditional methods of marketing can be used, either through targeted advertising or in common places for travelling, like airports and such, so that users know the existence of the product at hand.

6.5 People

All companies are reliant on the people who run them from front line Sales staff to the Managing Director. Having the right people is essential because they are as much a part of the business offering as the products/services you are offering. Future prospects might include a specific team that will handle customer support. However, as of now, the contact with the customer will be minimal, only through the feedback mechanism within the app and in the FAQ page within the website displaying the application.

6.6 Processes

Processes refer to the delivery of the service is usually done with the customer present so how the service is delivered is once again part of what the consumer is paying for. There are minimal processes of delivery of the product, since it is mainly handled by third-party software such as App Store and Google Play.

6.7 Physical Evidence

Almost all services include some physical elements even if the bulk of what the consumer is paying for is intangible, which the former is the case of Figure Out's. There is no physical evidence besides the premises in which the company is based, where all teams that work actively on the app work.

7 SWOT Analysis

SWOT analysis is one of the techniques with most potential in analyzing a company and its products. Its application allows to infer strengths, weaknesses, opportunities and threats to the company, allowing the latter to adjust and better themselves, all the while projecting its growth in a sustainable way. Typically, weaknesses and opportunities are intrinsically related with external factors and industry in which the company is in. Figure 3 shows Figure Out's SWOT analysis.

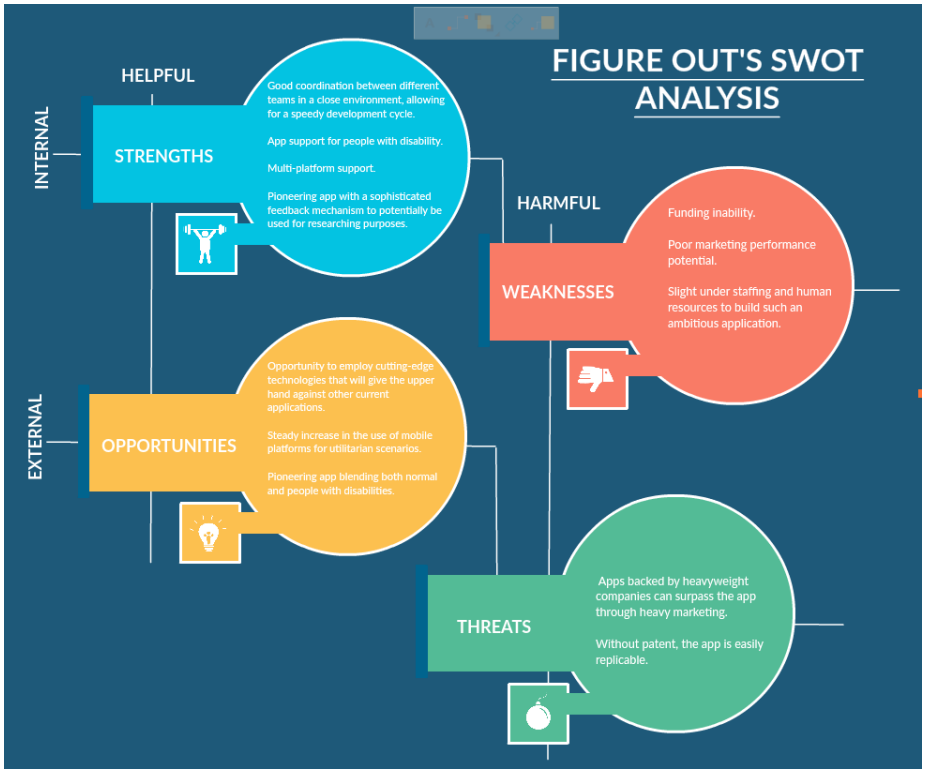


Figure 3: SWOT analysis of Figure Out's company.

8 Product life cycle strategy

In Figure Out, the product life cycle truly depends on how the market acts and evolves according to external factors. According to the threats, one can assume that the app is bound to be copied without a proper patent backing it up. Therefore, the product life cycle has many factors into it and there is a possibility that it will be eventually obsolete.

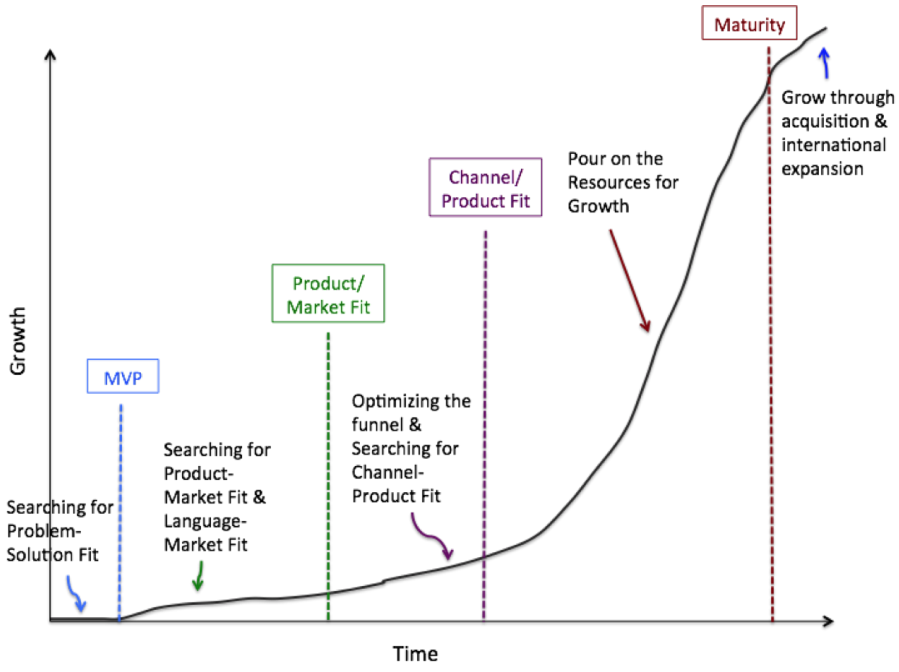


Figure 4: The growth part of the possible life cycle of Figure Out's product.

The product life cycle will follow the Lean Startup methodology, involving aspects as beta-testing and developing and MVP before entering the market with an official product at hand. The release of the product does not require any costs whatsoever. However, maintaining the app and adding new features have more workforce and costs as a premise for these long-term objects to come to fruition. Since the app is currently in its early stages, in pre-production phase, the development cycle is headed towards an MVP product.

The MVP development is critical to maintain a steady growth and avoid stumbling our way through the market. As the MVP gains traction, Figure Out aims to learn and iterate upon the product. By having a small but paying customers, the word of mouth marketing gains more relevance and these are the telltale signs of a product/market fit that Figure Out's carrots. In this phase, constant feedback with incoming users is critical to steer the product in the right path.

In the phase of Channel/Product fit, techniques like Funnel optimization come in handy. The latter is where Figure Out experiments with different elements of the user experience to reduce and remove points of confusion. This may involve testing landing pages, calls-to-action, the user onboarding process, and any other key actions users take as they learn how to use your product. It's done with the intention of optimizing for activation, conversion and retention.

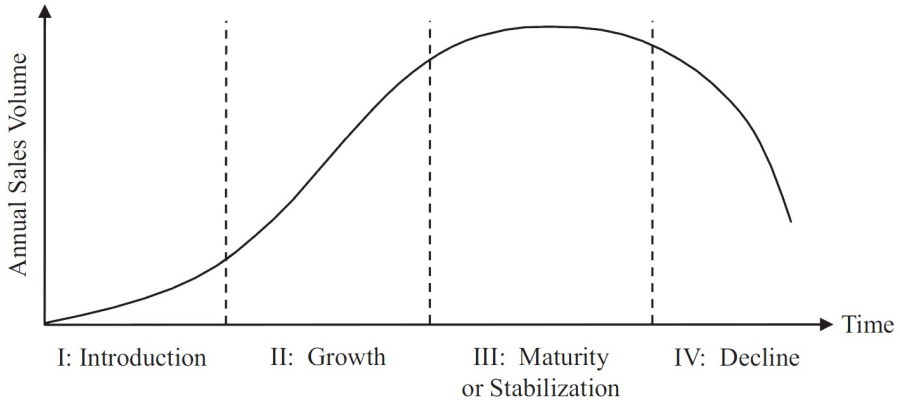


Figure 5: General life cycle of any product.

8.1 Product Sustainability

Every product usually faces the product life cycle that is described in figure 5. What Figure Out intends to do is to avoid reaching an early peak and a catastrophic decline. To avoid the saturation in marketing and begin an early decline, some techniques can be employed to extend the product life cycle.

The main aspect to avoid the "early death" of the application is to request a patent as early as possible. Every app is bound to be replicated by tech giants like Google or Facebook, for example, even more so as these possess a huge amount of resources and manpower.

On the other hand, to sustain the product longer, besides software maintenance, advertising is the first option to attain additional audience and more potential customers. This also allows to explore new markets. Price reduction is also possible, as well as adding new features to the product. Therefore, decreasing the price and adding more value to the product to enhance its usability attracts a wider customer base and, therefore, a new influx of revenue.

9 Action Plans

In the following table 1 it is possible to observe the action plans regarding the price, distribution and communication of Figure Out's mobile platform.

Product	***App***
Price	There are two options to tackle this situation: either the app costs a fixed price and the user has access to all the features; or the app is free and premium features are hid behind a pay wall.
Distribution	Distribution is made mainly on App Store and Google Play platforms.
Marketing	Target advertising (through online ads, for example). Word of mouth. Light advertisement in hot spots such as airports where the mobile app is more useful.

Table 1: Action plans for Figure Out app.

10 Budget

Having had the Action Plan outlined, what follows is a table outlining the possible costs of each single action. Please notice that these costs are estimate and account for roughly six months of marketing costs.

Category	***Action***
Product ***0 euros (team is not paid)***	Mobile and application
Price ***0 euros***	The app costs a fixed price and the user has access to all the features. (or) The app is free and premium features are hid behind a pay wall.
Distribution ***264 euros (App Store demands an entry fee)***	App Store and Google Play
Marketing ***500 euros for social ads and 1000 for physical***	Target advertising (through online ads, for example); Word of mouth; Light advertisement in hot spots such as airports where the mobile app is more useful;

Table 2: Budget for the actions regarding the aforementioned Action Plan, adding to roughly 1764 euros.

The previous table outlined how the marketing costs would unfold throughout the first six months of development. Please note that the previous table refers only to the marketing costs and these only. The development costs are a new ordeal, which include the costs of the previous table plus the cost of development, hardware specification and labour expenses. Table 3 covers various topics. Labour refers strictly to the second half of the year, since it has previously been established that throughout the first six months the app will be

made in an academic context and, therefore, free of charge in terms of labour. External labours are 1000 euros just as a safety net along the line, if the company needs to outsource some technology (highly likely the AR component of the application).

Software refers strictly to the tools used for development, since the company will not settle for free versions of the IDEs and needs the extra features that are behind a paid wall. Licensing also covers these costs. The distribution part refers mainly to the App Store entry fee to publish the application in the Apple market. It also covers the possible patent request.

Maintenance refers to the costs that will arise after the application hits the Market Fit stage in its development cycle. Or rather, at the end of the one-year cycle, where maintenance will be increasingly more important and adding new features will slowly be a second priority.

Expense	***Cost***
Labour	
Internal	17600
External	1000
Hardware/Infrastructure	3000
Software	1000
Licensing/Distribution	500
Marketing	1764
Maintenance/Support	3000
Total	27864

Table 3: Budget of the first year of development. Please note that the labour cost is free until the sixth month (August) and only then there's possible costs for labor. The rest refer to the complete 12-month timeline.

11 Schedule

What follows is the planned schedule to put in action the aforementioned marketing plan. This following table 4 refers to a short-plan action plan, which more or less fits between the MVP and Product / Market Fit product life-cycle sections.

As the marketing schedule states, most of the first six months of the beginning of the development of the application is mainly aimed towards the creation of the first version of the application, that is, the Minimum Viable Product. A core component of Lean Startup methodology is the build-measure-learn feedback loop. The first step is figuring out the problem that needs to be solved and then developing a minimum viable product (MVP) to begin the process of learning as quickly as possible. Once the MVP is established, a start-up can work on tuning the engine. This will involve measurement and learning and must include actionable metrics that can demonstrate cause and effect question.

Therefore, the creating and the measurement of the MVP application is crucial to have a better grasp not only of the application that is being developed but also of the industry and the people's opinion. It allows to better study their behaviour and predict such, leaning the course of development towards serving the main audience better. With this in mind, the beta-testing (or group testing) stage will commence after the MVP is available and ready to roll out.

With the feedback received from a month of usage from the restrict group of testers, the application may be ready to enter its new stage of life cycle: market fit. Before official release, the feedback taken from the group testers will be heard and implemented to better serve the first release of the app and obtain the best first-impression possible.

Marketing wise, target advertising may be used to get the first group of testers and after this stage as well. Physical marketing (billboards in tourism hotspots) will only commence after the official release of the app, as this is the most sensical and sensible approach.

Action	**March**	**April**	**May**	**June**	**July**	**August**
App Development towards MVP	X	X	X	X	X	
App maintenance post-MVP					X	X
Release in online stores (App Store and Google Play)						X
Beta-testing (close group of users)					X	
Official release to the public						X
Physical marketing in tourism hotspots						X
Target advertising (social networks)					X	X

Table 4: Rough schedule of the overview of the marketing plan and months of deployment.